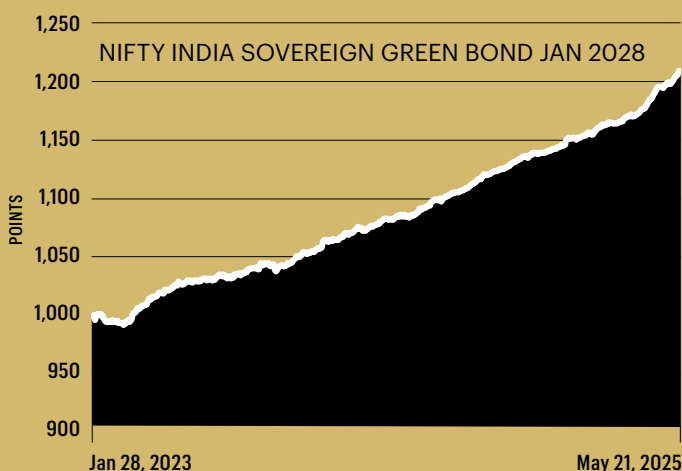




GREEN BOND INDEX PERFORMANCE



SOURCE NSE

LISTED GREEN BONDS

• As of March 31, 2025, green bonds worth ₹6,953 crore had been issued in India

NOTE DATA AS ON MARCH 31, 2025

SOURCE GRIP INVEST

ISSUE YEAR	SIZE (₹crore)
2017	667
2018	180
2019	865
2021	1,387
2022	1,935
2023	794
2024	1,125

and reporting, thereby promoting integrity in the development of the green bond market, globally,” says Banodkar.

In India, Sebi has made it mandatory for issuers of green debt to disclose the environmental objectives of the bond and the use of proceeds, verified by external auditors. India also released its Sovereign Green Bond Framework in 2022, which outlines transparency mechanisms and project eligibility criteria.

All these concerns, therefore, necessitate looking at other investment options, that not just meet ESG goals but also provide investors with higher returns.

ESG MUTUAL FUNDS

Among other popular ESG-oriented investment options are ESG mutual funds, which have seen broader adoption, particularly among retail investors. Funds like Invesco India ESG Integration Strategy Fund, ICICI Prudential ESG Exclusionary Strategy Fund, and SBI ESG Exclusionary Strategy Fund, among others, offer low entry barriers, better liquidity, and diversified exposure to companies with strong ESG credentials. “In developed markets like the US and Europe, ESG-themed funds have seen broader adoption due to better visibility and accessibility,” Aggarwal points out. “In India, ESG equity funds currently see more traction, while green bond investments are largely dominated by institutional investors such as pension funds and insurance companies.”

From a structural standpoint, ESG funds and green bonds serve different purposes. ESG funds screen companies based on environmental and social criteria and invest accordingly, often in equities. Green bonds, on the other hand, are fixed-income instruments with a direct link to specific green projects. While ESG funds provide diversified market exposure with the potential for capital appreciation, green bonds offer stable, predictable returns and are less volatile. For conservative investors or institutions seeking to match liabilities with steady income, green bonds can be an effective tool.

That said, green bonds lack a deep and active secondary market, which makes it essential for investors to be cautious and well-informed.

The rise of green bonds marks a shift in investor mindset—from maximising returns at any cost to investing with purpose and responsibility. **BT**

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